

Income Protection



RGL helps insurance professionals with the quantification of income and earnings within the context of an individual's often complex business affairs for income protection claims. We also provide tailored training workshops to develop understanding of issues relevant to income protection claims and in-house claims surgeries for the review and discussion of live cases.

Services for Income Protection Clients

RGL is able to assist in the quantification of an individual's income/earnings derived from:

- Employed earnings
- Self-employed earnings
- Dividend income
- Complex partnership or company arrangements
- Multiple entities

We provide our clients with a bespoke work product that suits the case involved. We apply a flexible working structure, depending on the needs of each case and are accustomed to working to a budget.

The services we provide in relation to income protection and disability claims include:

- Review and quantification of pre- and post-incapacity earnings
- Corresponding and meeting with the policyholder and/or their advisers, such as their accountant
- On-site review of financial records
- Participation in meetings and discussions to assist claims managers to reach resolution
- Provision of expert reports for litigation/Ombudsman
- In-house training and workshops
- In-house claims surgeries
- Investigations into individuals

Investigations into Individuals

RGL provide non-financial investigations into policyholders, including:

- Identification of undisclosed business interests, activities and assets both in the UK and overseas

- Identification of undisclosed information regarding the level and/or lifestyle impact of the incapacity sustained
- Desk based research and investigations to build an individual profile (e.g. lifestyle, employment, business interests, financial status, media profile)
- Confirmation of undeclared sources of employed and self-employed income
- Verification of the credibility of witnesses put forward by the policyholder in support of the claim

Claims Surgeries

In-house claims surgeries are designed to review live cases at the client's premises and allow us to discuss key financial issues with claims handlers directly.

This method of review can provide an on-site response to both quick queries and more complex issues. Claims surgeries can be provided on either a regular or ad hoc basis and are charged by the hour to provide flexibility for clients' needs and budgets.

Training / Workshops

RGL provides bespoke training workshops that are tailored to meet client requirements based on the number and experience of delegates.

The topics included are dependent on our clients' specific training needs and can include the use of live cases as worked case study examples. Our sessions are typically interactive and can be scheduled for any length of time, from a one hour lunchtime slot to a full day's training.

We also provide accompanying handout materials and workbooks which can be retained for future reference.

Experience Examples

Although no two projects are ever the same, we are able to apply our diverse experience to your particular needs. You can gain a better understanding of our past experience and how this may relate to your needs through our casestudy snapshots presented here.



Incomplete Documents

Limited and incomplete accounting documentation was available to support the self-employed policyholder's earnings. RGL's review included various telephone calls with the policyholder's accountant, a site visit to assess how the business operated and identification of irregularities in the accounting records and HMRC submissions. We prepared a report commenting on these issues, highlighting the issues and providing a range of calculations for pre- and post-incapacity earnings to enable the claims assessor to close the file.

Assisting Insurers in Mediation

The policyholder was involved in an ongoing dispute with Insurers over the value of benefits received over an eleven year period. There was also further disagreement relating to the methodology of the benefit calculation. RGL were instructed to review the methodology of calculation as well the value of the policyholder's pre-incident earnings. The accounting records provided indicated that the policyholder had based their claimed level of pre-incident earnings on documents dated outside the 12 month pre-incapacity period and had also included earnings from estimated invoices reflecting work not covered under the policy. RGL participated in the formal mediation where RGL's findings were upheld, facilitating settlement of the claim at mediation.

Multiple Business Entities and Income Sources

At the time of his accident the policyholder was a self-employed sole trader and was also a Director of various limited companies, receiving both dividend income and an employed Director's salary. RGL undertook a desktop review of his tax records and accounts for the various companies to quantify the amount and potential sources of pre-incapacity income. We recommended that a discussion with the policyholder and his accountant was necessary to clarify the interaction between the companies. RGL also identified key documents needed to confirm that the payments were made by the companies and received by the policyholder.

Experience Examples

Change in Partnership Share

The policyholder was in a partnership and, following a period of incapacity, he returned to work on a part time basis. RGL were instructed to review whether the insurers had adopted the appropriate level of pre-incapacity earnings in line with the terms and conditions of the policy, and to review the profit share received by the policyholder. RGL were able to confirm the profit share, identify further information to explain the changes in the partnership during the pre-incapacity period and reconcile the policyholder's profit share to his personal tax calculations. consequences that led to the eventual failure of the airline.



Change of Employment Status

Historically, the policyholder was a Director and 100% shareholder in their business and contracted services to one main client. Following a period of maternity leave, the policyholder became an employee of a key client and the policy holder reduced their shareholding in the business to 50%. Insurers were concerned about the limited and inconsistent information available for pre-incapacity earnings. RGL requested further documentation to clarify the issues and reviewed both the policyholder's dividend and employed income. A report was prepared providing a range of calculations for pre- and post-incapacity earnings.

Delays and Increased Costs

Sometime after starting to receive incapacity benefits the policyholder relocated overseas. RGL was instructed to comment on the policyholders' overseas company and various trusts to identify any regular post-incapacity income. RGL liaised with the policyholder to obtain further information and documentation, alongside this a detailed desk based investigation was carried out. RGL reviewed the documents available and their findings indicated that the policyholder was more involved in their business than previously communicated to Insurers and, as a 95% shareholder of the business, would be entitled to the distributable profits of the business.

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